Registration number: 01767386

Howden Joinery Corporate Services

Annual Report and Financial Statements

for the Period from 27 December 2015 to 24 December 2016

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Howden Joinery Corporate Services

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Howden Joinery Corporate Services

Company Information

Directors	Theresa Keating Gareth Hopkins Mark Robson Matthew Ingle
Company secretary	Forbes McNaughton
Registered office	40 Portman Square London W1H 6LT
Auditor	Deloitte LLP 2 New Street Square London United Kingdom

Howden Joinery Corporate Services

Strategic Report for the Period from 27 December 2015 to 24 December 2016

The directors present their strategic report for the period from 27 December 2015 to 24 December 2016.

The Company's principal activity is described in the Directors'; Report, which is located immediately below this Strategic Report. The Company's financial Key Performance Indicators are as shown in the Profit and Loss Account and Balance Sheet. We do not consider there to be any non-financial Key Performance Indicators relevant to the Company, other than those listed in the Group annual report, as detailed in the paragraph immediately below.

The Group manages its operations on a Group basis and therefore prepares a consolidated group annual report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

- Fair review of the business (pgs14-19)
- Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings (pgs 22-26)
- Financial and non-financial KPIs (pgs 17-18, 32-38)
- Future developments (pgs 7, 17)
- Information about environmental matters, social, community and human rights issues (pgs 29-41)
- Description of business model and strategy (pgs 8-13)
- Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons (pgs 57, 79, 95)

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

Approved by the Board on 19 September 2017 and signed on its behalf by:

T Keating

Theresa Keating
Director

Howden Joinery Corporate Services

Directors Report for the Period from 27 December 2015 to 24 December 2016

The directors present their annual report and the audited financial statements for the period from 27 December 2015 to 24 December 2016.

Directors of the company
The directors who held office during the period were as follows:
Theresa Keating
Gareth Hopkins
Mark Robson
Matthew Ingle

Principal activity
The principal activity of the company is providing and managing employees, professional fees and IT services for other Group companies. There has been no change in the Company's principal activities during the period.

Employees
The Company had 43 employees during the current period and staff costs amounted to £28.2m, which includes a £17.9m defined benefit pension charge relating to a pension scheme which covers employees across the whole Group.

Dividends
No dividend was proposed or paid during the current or prior period.
Financial instruments

Objectives and policies, price risk, credit risk, liquidity risk and cash flow risk

These are managed on a Group basis. Further information can be found on pages 18-19 of the Howden Joinery Group Plc 2016 Annual Report and accounts, which is available at
http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp

Political donations
The Company did not make any political donations in the current or prior period.

Going concern
After making enquiries and taking into consideration the profitability and financial position of the Company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future based on a written commitment of financial support from its ultimate parent company, Howden Joinery Group Plc. The directors continue to adopt the going concern basis in preparing the financial statements.

Disclosure of information to the auditors
Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditor is unaware.

Reappointment of auditors
Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485 - 488 of the Companies Act 2006.

Approved by the Board on 19 September 2017 and signed on its behalf by:

Theresa Keating
Director

Howden Joinery Corporate Services

Statement of Directors' Responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including FRS 101 'Reduced Disclosure Framework' ('FRS 101'). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Howden Joinery Corporate Services

Independent Auditor's Report

We have audited the financial statements of Howden Joinery Corporate Services for the period from 27 December 2015 to 24 December 2016, which comprise the Profit and Loss Account, the Statement of Comprehensive Income, the Balance Sheet, the Statement of Changes in Equity and the related notes 1 to 23. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), including FRS 101 "Reduced Disclosure Framework".
This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditor
As explained more fully in the Statement of Directors' Responsibilities (set out on page 5), the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's (APB's) Ethical Standards for Auditors.

Scope of the audit of the financial statements
An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of: whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed; the reasonableness of significant accounting estimates made by the directors; and the overall presentation of the financial statements. In addition, we read all the financial and non-financial information in the Annual Report to identify material inconsistencies with the audited financial statements and to identify any information that is apparently materially incorrect based on, or materially inconsistent with, the knowledge acquired by us in the course of performing the audit. If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report.

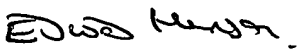
Opinion on the financial statements
In our opinion the financial statements:
- give a true and fair view of the state of the company's affairs as at 24 December 2016 and of its loss for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matter prescribed by the Companies Act 2006
In our opinion the information given in the Strategic Report and Directors Report for the financial period for which the financial statements are prepared is consistent with the financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.



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Edward Hanson (Senior Statutory Auditor)
For and on behalf of Deloitte LLP, Statutory Auditor

2 New Street Square
London
United Kingdom

19 September 2017

Howden Joinery Corporate Services

Profit and Loss Account for the Period from 27 December 2015 to 24 December 2016

	Note	27 December 2015 to 24 December 2016 £ 000	(As restated) Year ended 26 December 2015 £ 000
Turnover	4	40,219	67,402
Administrative expenses		(47,750)	(38,640)
Operating (loss)/profit		(7,531)	28,762
Interest payable and similar charges	7	(2,347)	(5,834)
		(2,347)	(5,834)
(Loss)/profit before tax		(9,878)	22,928
Tax on (loss)/profit on ordinary activities	11	1,189	(7,378)
(Loss)/profit for the period		(8,689)	15,550

The above results were derived from continuing operations.

Howden Joinery Corporate Services

Statement of Comprehensive Income for the Period from 27 December 2015 to 24 December 2016

	Note	27 December 2015 to 24 December 2016 £ 000	(As restated) Year ended 26 December 2015 £ 000
(Loss)/profit for the period		(8,689)	15,550
Items that will not be reclassified subsequently to profit or loss			
Actuarial gain/(loss) on pension scheme, and associated deferred tax	18, 11	(70,162)	46,694
Total comprehensive income for the period		(78,851)	62,244

The notes on pages 12 to 36 form an integral part of these financial statements.

Howden Joinery Corporate Services

(Registration number: 01767386)
Balance Sheet as at 24 December 2016

	Note	24 December 2016 £ 000	(As restated) 26 December 2015 £ 000
Fixed assets			
Intangible assets	13	2,913	2,822
Property, plant and equipment	12	7,293	5,599
Investment in shares of ultimate parent company	14	54,274	39,045
Deferred tax assets	11	22,102	13,139
		86,582	60,605
Current assets			
Trade and other receivables	15	198,599	64,995
Income tax asset	11	7,916	1,744
Cash at bank and in hand		195	305
		206,710	67,044
Creditors: Amounts falling due within one year			
Trade and other payables	21	(327,038)	(138,665)
Net current liabilities		(120,328)	(71,621)
Total assets less current liabilities		(33,746)	(11,016)
Creditors: Amounts falling due after more than one year			
Provisions for liabilities	20	(2,770)	(4,148)
Defined benefit pension liability	18	(105,989)	(49,153)
Net liabilities		(142,505)	(64,317)
Capital and reserves			
Called up share capital	16	12,358	12,358
Capital contribution reserve		280,315	280,315
Share-based payments reserve		28,342	27,479
Retained earnings		(463,520)	(384,469)
Shareholders' deficit		(142,505)	(64,317)

Approved by the Board on 19 September 2017 and signed on its behalf by:

Theresa Keating
Director

The notes on pages 12 to 36 form an integral part of these financial statements.

Howden Joinery Corporate Services

Statement of Changes in Equity for the Period from 27 December 2015 to 24 December 2016

	Called up share capital £ 000	Capital contribution reserve £ 000	Share-based payments reserve £ 000	Retained earnings £ 000	Total £ 000
At 27 December 2015	12,358	280,315	27,479	(384,469)	(64,317)
Loss for the period	-	-	-	(8,689)	(8,689)
Other comprehensive income	-	-	-	(70,162)	(70,162)
Total comprehensive income	-	-	-	(78,851)	(78,851)
Current tax on share schemes	-	-	-	678	678
Deferred tax on share schemes	-	-	-	(878)	(878)
Share based payment transactions	-	-	863	-	863
At 24 December 2016	12,358	280,315	28,342	(463,520)	(142,505)

	Share capital £ 000	Capital contribution reserve £ 000	Share-based payments reserve £ 000	Retained earnings £ 000	Total £ 000
At 27 December 2014	12,358	280,315	24,410	(447,679)	(130,596)
Profit for the period	-	-	-	15,550	15,550
Other comprehensive income	-	-	-	46,694	46,694
Total comprehensive income	-	-	-	62,244	62,244
Current tax on share schemes	-	-	-	1,842	1,842
Deferred tax on share schemes	-	-	-	(876)	(876)
Share based payment transactions	-	-	3,069	-	3,069
At 26 December 2015	12,358	280,315	27,479	(384,469)	(64,317)

The notes on pages 12 to 36 form an integral part of these financial statements.

1 General information

The company is a private company limited by share capital incorporated and domiciled in England.
The address of its registered office is:
40 Portman Square
London
W1H 6LT
England
These financial statements were authorised for issue by the Board on 19 September 2017.

2 Accounting policies

Summary of significant accounting policies and key accounting estimates
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

Basis of preparation
These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework. They are prepared on the historical cost basis.

Summary of disclosure exemptions
As permitted by FRS 101, the Company has taken advantage of the disclosure exemptions available under that standard in relation to business combinations, share-based payment, non-current assets held for sale, financial instruments, capital management, presentation of comparative information in respect of certain assets, presentation of a cash-flow statement, standards not yet effective, impairment of assets and related party transactions.

Where relevant, equivalent disclosures have been given in the group accounts of Howden Joinery Group Plc. These group accounts are available to the public and can be obtained from this company's registered office or at http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp.

Going concern
The financial statements have been prepared on a going concern basis.

Changes in accounting policy
None of the standards, interpretations and amendments effective for the first time from 27 December 2015 have had a material effect on the financial statements, other than FRS 101 whose effects are described in the relevant note to these accounts.

Revenue recognition and turnover
Revenue comprises the fair value of the consideration received or receivable for the sale of goods and provision of services in the ordinary course of the company's activities. Revenue is shown net of sales/value added tax, returns, rebates and discounts and after eliminating sales within the company.

The company recognises revenue when:
The amount of revenue can be reliably measured;
it is probable that future economic benefits will flow to the entity;
and specific criteria have been met for each of the company activities.

2 Accounting policies (continued)

Finance income and costs policy
Interest income is recognised in the income statement as it accrues, using the effective interest method.

Foreign currency transactions and balances
Transactions in foreign currencies are initially recorded at the functional currency rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated into the respective functional currency of the entity at the rates prevailing on the reporting period date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing on the initial transaction dates.

Non-monetary items measured in terms of historical cost in a foreign currency are not retranslated.

Tax
The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income is also recognised directly in other comprehensive income.
The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the company operates and generates taxable income.
Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements and on unused tax losses or tax credits in the company. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

The carrying amount of deferred tax assets are reviewed at each reporting date and a valuation allowance is set up against deferred tax assets so that the net carrying amount equals the highest amount that is more likely than not to be recovered based on current or future taxable profit.

Property, plant and equipment
Property, plant and equipment is stated in the statement of financial position at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

The cost of property, plant and equipment includes directly attributable incremental costs incurred in their acquisition and installation.

Depreciation
Depreciation is charged so as to write off the cost of assets, other than assets under construction - which are not depreciated - over their estimated useful lives, as follows:

Asset class	Depreciation method and rate
Plant, machinery and vehicles	4 - 20 years
Leasehold property	the period of the lease, or the individual asset's life if shorter
Fixtures and fittings	10 years

2 Accounting policies (continued)

Intangible assets
Our intangible assets represent computer software. Where computer software is not an integral part of a related item of computer hardware, the software is classified as an intangible asset. The capitalised costs of software for internal use include external direct costs of materials and services consumed in developing or obtaining the software and payroll and payroll-related costs for employees who are directly associated with and who devote substantial time to the project. Capitalisation of these costs ceases no later than the point at which the software is substantially complete and ready for its intended internal use. These costs are amortised on a straight line basis over their expected useful lives, which are reviewed annually. The expected useful lives range between three and seven years, depending on the nature of the software.

Investments
Investments represent shares in the ultimate parent company, Howden Joinery Group Plc, which are held by employee share ownership trusts. The investments are initially recorded at cost, including purchase expenses.

Cash and cash equivalents
Cash and cash equivalents comprise cash on hand and call deposits, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value.

Trade payables
Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Trade payables are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest method.

Provisions
Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, it is probable that the group will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

Provisions are measured at the directors' best estimate of the expenditure required to settle the obligation at the reporting date and are discounted to present value where the effect is material.

Share capital
Ordinary shares are classified as equity. Equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments. If payment is deferred and the time value of money is material, the initial measurement is on a present value basis.

2 Accounting policies (continued)

Defined benefit pension obligation
Typically defined benefit plans define an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

The liability recognised in the statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the reporting date minus the fair value of plan assets. The defined benefit obligation is measured using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future payments by reference to market yields at the reporting date on high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension liability.

Actuarial gains and losses are charged or credited to other comprehensive income in the period in which they arise. Past-service costs are recognised immediately in profit or loss.

Share based payments
The company operates an equity-settled, share-based compensation plan, under which the entity receives services from employees as consideration for equity instruments (options) of the entity. The fair value of the employee services received is measured by reference to the estimated fair value at the grant date of equity instruments granted and is recognised as an expense over the vesting period. The estimated fair value of the option granted is calculated using a binomial option pricing model. The total amount expensed is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied.

The proceeds received net of any directly attributable transaction costs are credited to share capital (nominal value) and share premium when the options are exercised.

3 Critical accounting judgements and key sources of estimation uncertainty

The Company makes judgements and assumptions concerning the future that impact the application of policies and reported amounts. The resulting accounting estimates calculated using these judgements and assumptions will, by definition, seldom equal the related actual results but are based on historical experience and expectations of future events. The judgements and key sources of estimation uncertainty that may have a significant effect on the amounts recognised in the financial statements are discussed below.

Post employment benefits
The Company operates a defined benefit scheme for its employees. The present value of the scheme's liabilities recognised at the balance sheet date is dependent on interest rates of high quality corporate bonds. The net financing charge recognised in the income statement is dependent on the interest rate of high quality corporate bonds. Other key assumptions within this calculation are based on market conditions or estimates of future events, including mortality rates, as set out in the relevant note to these financial statements.

4 Revenue

The analysis of the Company's revenue for the period from continuing operations is as follows:

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Management services recharged to other Group companies	40,219	67,402

5 Other gains and losses

The analysis of the company's other gains and losses for the period is as follows:

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Gain (loss) on disposal of property, plant and equipment	(6)	(15)
Gain (loss) on disposal of intangible assets	(11)	-
	(17)	(15)

6 Operating profit

Arrived at after charging/(crediting)

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Depreciation expense	2,100	1,930
Amortisation expense	1,181	1,009
Foreign exchange gains/(losses)	43	(34)
Operating lease expense - property	1,860	8,410
Operating lease expense - plant and machinery	510	451
Loss on disposal of property, plant and equipment	6	15

7 Interest payable and similar charges

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Pensions finance charge	1,000	4,100
Intercompany loan interest	1,347	1,734
	2,347	5,834

8 Staff costs

The aggregate payroll costs (including directors' remuneration) were as follows:

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Wages and salaries	7,359	7,403
Social security costs	1,961	3,000
Pension costs, defined contribution scheme	92	77
Pension costs, defined benefit scheme	17,900	17,802
Share-based payment expenses	863	3,069
	28,175	31,351

The defined benefit scheme charge in both periods relates to the cost of providing defined benefit pensions to the whole Howden Joinery Group, for the reasons explained at Note 17.

The average number of persons employed by the company (including directors) during the period, analysed by category was as follows:

	27 December 2015 to 24 December 2016 No.	Year ended 26 December 2015 No.
Administration and support	43	38

9 Directors' remuneration

The directors' remuneration for the period was as follows:

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Remuneration	3,670	3,536
Defined benefit pension	71	56
	3,741	3,592

9 Directors' remuneration (continued)

During the period the number of directors who were receiving benefits and share incentives was as follows:

	27 December 2015 to 24 December 2016 No.	Year ended 26 December 2015 No.
Received or were entitled to receive shares under long term incentive schemes	4	3
Exercised share options	3	3
Accruing benefits under defined benefit pension scheme	3	3
Accruing benefits under money purchase pension scheme	1	1

In respect of the highest paid director:

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Remuneration	1,232	1,490
Defined benefit accrued pension entitlement at the end of the period	59	54

During the period the highest paid director exercised share options and also received or was entitled to receive shares under a long term incentive scheme.

10 Auditor's remuneration

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Audit of the financial statements	26	27
Other fees to auditor		
All other tax advisory services	36	31

11 Income tax

Tax charged/(credited) in the income statement

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Current taxation		
UK corporation tax	(7,238)	98
UK corporation tax adjustment to prior periods	(337)	(205)
	(7,575)	(107)
Deferred taxation		
Arising from origination and reversal of temporary differences	6,526	7,510
Arising from previously unrecognised tax loss, tax credit or temporary difference of prior periods	(140)	(25)
Total deferred taxation	6,386	7,485
Tax (receipt)/expense in the income statement	(1,189)	7,378

The tax on profit before tax for the period is not the same as the standard rate of Corporation tax in the UK of 20% (2015 - 20.25%)

The differences are reconciled below:

	27 December 2015 to 24 December 2016 £ 000	(As restated) Year ended 26 December 2015 £ 000
(Loss)/profit before tax	(9,878)	22,928
Corporation tax at standard rate	(1,976)	4,643
Increase (decrease) in current tax from adjustment for prior periods	(489)	(230)
Increase (decrease) from effect of expenses not deductible in determining taxable profit (tax loss)	934	(2,089)
Increase (decrease) from effect of exercise employee share options	80	117
Increase (decrease) arising from group relief tax reconciliation	-	4,652
Deferred tax expense (credit) relating to changes in tax rates or laws	262	285
Total tax (credit)/charge	(1,189)	7,378

11 Income tax (continued)

Deferred tax

On the 8 July 2015, the Chancellor of the Exchequer announced the reduction in the main rate of UK corporation tax to 19% for the year starting 1 April 2017 and a further reduction to 18% from 1 April 2020. These changes were substantively enacted in October 2015.

On the 16 March 2016, the Chancellor of the Exchequer announced a further 1% reduction to the previously announced 18% main rate of UK corporation tax to 17% from 1 April 2020. This change was substantively enacted in September 2016. All deferred tax assets and liabilities have been measured at the tax rates that are expected to apply to the period when the asset is realised or liability is settled.

Deferred tax movement during the period:

	At 27 December 2015 £ 000	Recognised in income £ 000	Recognised in other comprehensive income £ 000	Recognised in equity £ 000	At 24 December 2016 £ 000
Pension benefit obligations	9,831	(5,920)	16,252	-	20,163
Provisions	74	22	-	-	96
Accelerated tax depreciation	1,241	32	-	-	1,272
Share-based payment	1,993	(520)	-	(878)	596
Net tax assets/(liabilities)	13,139	(6,386)	16,252	(878)	22,127

Deferred tax movement during the prior year:

	At 27 December 2014 £ 000	Recognised in income £ 000	Recognised in other comprehensive income £ 000	Recognised in equity £ 000	At 26 December 2015 £ 000
Pension benefit obligations	28,517	(7,006)	(11,680)	-	9,831
Provisions	91	(17)	-	-	74
Accelerated tax depreciation	1,489	(248)	-	-	1,241
Share-based payment	3,071	(202)	-	(876)	1,993
Net tax assets/(liabilities)	33,168	(7,473)	(11,680)	(876)	13,139

12 Property, plant and equipment

	Leasehold property £ 000	Fixtures & fittings £ 000	Assets under construction £ 000	Other property, plant and equipment £ 000	Total £ 000
Cost or valuation					
At 27 December 2015	3,537	445	829	36,320	41,131
Additions	225	40	1,411	2,167	3,843
Disposals	-	(2)	-	(2,494)	(2,496)
Transfers	-	-	(737)	737	-
At 24 December 2016	3,762	483	1,503	36,730	42,478
Depreciation					
At 27 December 2015	2,046	321	-	33,166	35,533
Charge for the year	367	94	-	1,639	2,100
Eliminated on disposal	-	(2)	-	(2,446)	(2,448)
At 24 December 2016	2,413	413	-	32,359	35,185
Carrying amount					
At 24 December 2016	1,349	70	1,503	4,371	7,293
At 26 December 2015	1,492	719	829	2,559	5,599

13 Intangible assets

	Software £ 000	Total £ 000
Cost or valuation		
At 27 December 2015	7,593	7,593
Additions	1,283	1,283
Disposals	(195)	(195)
At 24 December 2016	8,681	8,681
Amortisation		
At 27 December 2015	4,771	4,771
Amortisation charge	1,182	1,182
Amortisation eliminated on disposals	(185)	(185)
At 24 December 2016	5,768	5,768
Carrying amount		
At 24 December 2016	2,913	2,913
At 26 December 2015	2,822	2,822

14 Investments

	24 December 2016 £ 000	26 December 2015 £ 000
Investment in shares of ultimate parent company	54,274	39,045

	24 December 2016 £ 000	26 December 2015 £ 000
Cost		
At 27 December	39,044	40,147
Additions	16,205	-
Disposals	(975)	(1,102)
At 24 December	54,274	39,045
Provision		
Carrying amount		
At 24 December	54,274	39,045

The investment is in the listed ordinary shares of the Company's ultimate parent, Howden Joinery Group Plc. The shares are held in employee share ownership trusts.

15 Trade and other receivables

	24 December 2016 £ 000	(As restated) 26 December 2015 £ 000
Trade receivables	6	94
Receivables from related parties	194,048	60,795
Prepayments	3,707	3,108
Other receivables	838	998
Total current trade and other receivables	198,599	64,995

16 Share capital

Allotted, called up and fully paid shares

	24 December 2016		26 December 2015	
	No. 000	£ 000	No. 000	£ 000
Ordinary shares of £1 each	12,358	12,358	12,358	12,358

The Company's share capital at the current and prior period end consisted of 12,358,000 £1 ordinary shares

17 Obligations under leases and hire purchase contracts

Operating leases

The total future value of minimum lease payments is as follows:

	2016 £ 000	2015 £ 000
Within one year	1,798	2,367
In two to five years	6,268	8,317
In over five years	4,243	7,800
	12,309	18,484

The amount of non-cancellable operating lease payments recognised as an expense during the period was £2,370,000 (2015 - £8,861,000)

The amount of contingent finance lease payments recognised as an expense during the period is £Nil (2015 - £Nil).

Sublease arrangements

Rent from sublease of unused properties.

Total future minimum sublease income under non-cancellable operating leases expected to be received is £574,638 (2015 - £2,577,408).

The amount of income recognised in the period from non-cancellable operating subleases was £431,291 (2015 - £5,803,663).

18 Pension and other schemes

Defined contribution pension scheme

The company operates a defined contribution pension scheme. The pension cost charge for the period represents contributions payable by the company to the scheme and amounted to £91,981 (2015 - £77,573).

Defined benefit pension schemes

Howden Joinery Group Defined Benefit Plan

Plans that share risks between entities under common control

Characteristics and risks of the plan:

The Howden Joinery Group operates a funded pension plan which provides benefits based on the career average pensionable pay of participating employees. This plan was closed to new entrants from April 2013.

The plan shares risks between wholly-owned Group subsidiaries which are each under the control of the ultimate parent company. These risks are shared between this Company and two other wholly-owned Group subsidiaries.

There is no contractual agreement or stated policy for charging the net defined benefit cost between the participating subsidiaries and this Company is the sponsoring employer, so the entire net defined benefit pension cost, and the entire pension deficit, appears in this Company's accounts.

18 Pension and other schemes (continued)

The assets of the plan are held separately from those of the Group, being held in a trustee-administered pension plan and invested with independent fund managers. The trustee directors of the plan comprise three member-elected trustees, two independent trustees, and three Group-appointed trustees. All trustees are required to act in the best interests of the plan beneficiaries.

The plan exposes the Group to actuarial risks, such as longevity risk, interest rate risk, and market (investment) risk.

Funding and estimated contributions

The Group has an agreement with the pension plan trustees to make additional deficit contributions to the plan over and above the normal level of contributions of £35m per year until 30 June 2017, and then £25m per year until 30 June 2018.

Contributions payable to the pension scheme at the end of the period are £Nil (2015 - £Nil).

The expected contributions to the plan for the next reporting period are £43,500,000.

The scheme was most recently valued on 5 April 2014.

Accounting and actuarial valuation

Contributions are charged to the consolidated income statement so as to spread the cost of pensions over the employees' working lives with the Group. The present value of the defined benefit obligation, the related current service cost, and past service cost are determined by a qualified actuary using the projected unit method. The most recent completed actuarial valuation was carried out at 5 April 2014 by the plan actuary. The actuary advising the Group has subsequently rolled forward the results of the 5 April 2014 valuation to 24 December 2016, and has restated the results onto a basis consistent with market conditions at that date.

18 Pension and other schemes (continued)

Reconciliation of scheme assets and liabilities to assets and liabilities recognised

The amounts recognised in the statement of financial position are as follows:

	24 December 2016 £ m	26 December 2015 £ m
Fair value of scheme assets	1,178	993
Present value of scheme liabilities	(1,284)	(1,042)
Defined benefit pension scheme deficit	(106)	(49)

Scheme assets

Changes in the fair value of scheme assets are as follows:

	24 December 2016 £ m	26 December 2015 £ m
Fair value at start of period	993	944
Interest income	37	34
Return on plan assets, excluding amounts included in interest income/(expense)	133	(6)
Employer contributions	49	57
Benefits paid	(35)	(35)
Fair value at end of period	1,177	994

Analysis of assets

The major categories of scheme assets are as follows:

	24 December 2016 £m	26 December 2015 £m
Cash and cash equivalents	12	10
Equity instruments	372	340
Debt instruments	560	439
Investment funds	234	204
	1,178	993

18 Pension and other schemes (continued)

Equity instruments
Equity instruments can be further categorised as follows:

	24 December 2016 £m	26 December 2015 £m
Quoted		
Passive equities	114	107
Low-volatility equities	215	191
	329	298
Unquoted		
Private equity	43	42
	372	340

Debt instruments
Debt instruments can be further categorised as follows:

	24 December 2016 £m	26 December 2015 £m
Quoted		
Corporate bonds	125	90
Government bonds	436	349
	561	439

Investment funds
Investment funds can be further categorised as follows:

	24 December 2016 £m	26 December 2015 £m
Quoted		
Commercial property fund	82	52
Fund of hedge funds	84	82
Absolute return fund	67	70
	233	204

The trustees' current chosen long-term asset allocation strategy for the plan, as noted in the plan's most recent audited accounts (for the year to 5 April 2016), is to target an allocation of 55% in return-seeking assets (such as equities, alternative growth assets, private equity and the commercial property fund), and 45% in risk-reducing assets (such as government bonds, corporate bonds, and cash and cash equivalents).

18 Pension and other schemes (continued)

Actual return on scheme's assets

	24 December 2016 £m	26 December 2015 £m
Actual return on scheme assets	171	27

The pension scheme has not invested in any of the company's own financial instruments or in properties or other assets used by the company.

Scheme liabilities

Changes in the present value of scheme liabilities are as follows:

	24 December 2016 £m	26 December 2015 £m
Present value at start of period	1,042	1,086
Current service cost	18	18
Actuarial gains and losses arising from changes in demographic assumptions	-	10
Actuarial gains and losses arising from changes in financial assumptions	232	(55)
Actuarial gains and losses arising from experience adjustments	(13)	(19)
Interest cost	38	38
Benefits paid	(35)	(35)
Present value at end of period	1,282	1,043

Principal actuarial assumptions

The significant actuarial assumptions used to determine the present value of the defined benefit obligation at the statement of financial position date are as follows:

	24 December 2016 %	26 December 2015 %
Discount rate	2.85	3.75
Future salary increases	4.50	4.50
Future pension increases - from 2.25% to	3.55	3.65
Inflation - RPI	3.50	3.50

18 Pension and other schemes (continued)

Post retirement mortality assumptions

	24 December 2016 Years	26 December 2015 Years
Current UK pensioners at retirement age - male	23	23
Current UK pensioners at retirement age - female	24	24
Future UK pensioners at retirement age - male	25	24
Future UK pensioners at retirement age - female	27	27

Amounts recognised in the income statement

	24 December 2016 £m	26 December 2015 £m
Amounts recognised in operating profit		
Current service cost	(15)	(16)
Administrative expenses paid	(3)	(2)
Recognised in arriving at operating profit	(18)	(18)
Amounts recognised in finance income or costs		
Net interest	(1)	(4)
Total recognised in the income statement	(19)	(22)

18 Pension and other schemes (continued)

Amounts taken to the Statement of Comprehensive Income

	24 December 2016 £m	26 December 2015 £m
Actuarial gains and losses arising from changes in demographic assumptions	-	(10)
Actuarial gains and losses arising from changes in financial assumptions	(232)	55
Actuarial gains and losses arising from experience adjustments	13	19
Return on plan assets, excluding amounts included in interest income/(expense)	133	(6)
Amounts recognised in the Statement of Comprehensive Income	(86)	58

Sensitivity analysis

A sensitivity analysis for the principal assumptions used to measure scheme liabilities is set out below:

		2016		2015	
Adjustment to discount rate	**+ 0.25% £ 000**	**0.0% £ 000**	**- 0.25% £ 000**	**0.0% £ 000**	**- 0.25% £ 000**
Present value of total obligation	-	(1,284,000)	(1,355,000)	(1,042,300)	(1,092,300)

		2016		2015	
Adjustment to rate of inflation	**+ 0.25% £ 000**	**0.0% £ 000**	**- 0.25% £ 000**	**+ 0.25% £ 000**	**0.0% £ 000**
Present value of total obligation	(1,316,000)	(1,284,000)	-	(1,069,300)	(1,042,300)

		2016		2015	
Adjustment to mortality age rating assumption	**+ 1 Year £ 000**	**None £ 000**	**- 1 Year £ 000**	**+ 1 Year £ 000**	**None £ 000**
Present value of total obligation	(1,310,000)	(1,284,000)	-	(1,063,300)	(1,042,300)

The weighted average duration of the defined benefit obligation at both the current and prior period ends was 21 years.

19 Share-based payments

The ultimate parent company, Howden Joinery Group Plc ("the Group") operates various share-based payment schemes for employees in its subsidiary companies, all of which relate to shares in the Group. There are no share-based payment schemes relating to the shares in the Company. The various Group schemes are described below.

19 Share-based payments (continued)

Share Incentive Scheme ("Freeshares")

Scheme description

This is an all-employee share incentive plan whereby participants receive a grant of free shares in the Group. If the employees are still employed by the Group three years after the grant, then the shares vest. Dividends are paid out on the shares between award date and vesting date. There are no other performance conditions attached to these awards.

Share Award Plan

Scheme description

This is a discretionary plan under which the Group may grant nil cost options subject to conditions as determined by the Group. The shares will vest at the end of a five year period commencing on the date of grant, subject to continuing employment.

Co-investment Plan ("COIP")

Scheme description

This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan. Details of the plan conditions are as follows:
Date of award 2013 2014 2015 2016
Vesting based on growth in profits - from year ended December 2012 2013 2014 2015
for the three-year period ending with the year ended December 2015 2016 2017 2018
Award vests at 25% if profits over the vesting period grow by 6% N/A N/A N/A
Award vests at 15% if profits over the vesting period grow by N/A 8% 8% 8%
Award vests at 100% if profits over the vesting period grow by 12% 20% 20% 20%

If profits grow by a figure between the upper and lower thresholds for each year, the award will vest on a sliding scale.

Howden Joinery Group Long Term Incentive Plan ("LTIP")

Scheme description

This is a discretionary plan under which the Group may grant different types of share award including market value and nil cost options, conditional awards of shares and restricted shares (where the employee is the owner of the shares from the date of award but subject to forfeiture). The different types of awards are as follows:
(i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). Options will vest if cumulative PBT of £90m is achieved over the three financial years ending 2009, 2010 and 2011.
(ii) Market value options which vest after a three year period from the date of grant. 15% of the options will vest if the group achieves growth in pre-exceptional PBT equivalent to RPI over the performance period; 100% will vest if pre-exceptional PBT growth is equivalent to RPI + 8% is achieved.
(iii) Conditional Share Award - shares will vest at the end of a three year period commencing on the date of grant subject to continuing employment.
(iv) Market value options. The vesting conditions for these options are the same as for that year's COIP, which are shown above
(v) Performance share plan. Vesting conditions are as follows:
Date of award 2015 2016
Vesting based on growth in profits - from year ended December 2014 2015
for the three-year period ending with the year ended December 2017 2018
Award vests at 15% if profits over the vesting period grow by 8% 8%
Award vests at 100% if profits over the vesting period grow by 20% 20%

20 Other provisions

	Leases £ 000	Total £ 000
At 27 December 2015	4,148	4,148
Increase (decrease) in existing provisions	2,949	2,949
Provisions used	(4,327)	(4,327)
At 24 December 2016	2,770	2,770
Non-current liabilities	2,770	2,770

21 Trade and other payables

	24 December 2016 £ 000	(As restated) 26 December 2015 £ 000
Trade payables	2,046	2,852
Accrued expenses	9,731	11,961
Amounts due to related parties	314,358	123,041
Social security and other taxes	903	811
	327,038	138,665

22 Parent and ultimate parent undertaking

The company's immediate parent is Howden Joinery Group Plc.

The ultimate parent, who produces consolidated financial statements which include this company is Howden Joinery Group Plc.

The most senior parent entity producing publicly available financial statements, and the only other entity who produces consolidated financial statements which include this company is Howden Joinery Group Plc. These financial statements are available on request from 40 Portman Square, London W1H 6LT, or http://howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp

23 Transition to FRS 101

This is the first time that the Company has presented its financial statements under FRS 101 (Financial Reporting Standard 101) issued by the Financial Reporting Council. The following disclosures are required in the year of transition. The last financial statements under a previous UK GAAP (pre-2015 UK GAAP) were for the 52 week period ended 26 December 2015 and the date of transition to FRS 101 was therefore 27 December 2015.

On adopting FRS101, the Company made adjustments relating to:
- tax on share options;
- pension deficit;
- pension charge in the profit and loss account.

The nature of these adjustments is described below, and the financial effect of the adjustments is shown in the tables which follow.

Tax on share options
Under previous UK GAAP deferred tax was provided for timing differences between when an amount was taxable or allowable for tax purposes and when it was recognised in the profit and loss account. Under FRS 101 deferred tax is provided on temporary differences based upon the discrepancy between the tax base and the carrying value of assets and liabilities. This has given rise to an additional deferred tax asset at 31 December 2014 which relates to future corporate tax deductions for share options.

Pension deficit
The Company is part of a Group defined benefit pension scheme which covers a number of subsidiaries under common control. Under previous UK GAAP, none of the subsidiaries which participated in the pension scheme was held to be responsible for the assets and liabilities of the scheme. This mean that the assets and liabilities of the scheme were not recognised in the accounts of any of the participating subsidiaries, and it was only recognised in the Group accounts as a consolidation adjustment.

Under FRS 101 this Company is now held to be responsible for the scheme's assets and liabilities. This means that the Group pension deficit has been recognised to this Company as an adjustment to prior period opening reserves on adoption of FRS 101, together with the associated deferred tax balance.

Pension charge in the profit and loss account
The basis of charging defined benefit pension expense in each participating company has altered on adopting FRS 101. Under previous UK GAAP, the cash paid to the scheme in a period from the Group's central bank account was recharged between the participating subsidiaries and charged to their individual profit and loss accounts accordingly. Under FRS 101, this company now recognises the whole of the Group defined benefit pension scheme cost, as calculated on an IAS 19 basis. This includes both the current service cost and the pension finance charge.

The pension charge under previous UK GAAP for 2015 is lower than under FRS 101, which has given rise to a difference in the profit and loss account charge for pensions, and a corresponding difference in debtors (relating to amounts owed to fellow Group subsidiaries).

Reclassification of tax assets
Under previous UK GAAP the company had both an income tax asset and a deferred tax asset at the 2014 and 2015 year ends. These assets were included in the balance sheet heading "Debtors". On transition to FRS 101, these tax assets were reclassified and are now shown as separate lines on the balance sheet.

23 Transition to FRS 101 (continued)

Balance sheet at 27 December 2014

	Note	As originally reported £ 000	Reclassification £ 000	Remeasurement £ 000	As restated £ 000
Fixed assets					
Intangible assets		-	1,739	-	1,739
Tangible fixed assets		7,924	(1,739)	-	6,185
Investments		40,147	-	-	40,147
Deferred tax asset		-	2,828	30,340	33,168
		48,071	2,828	30,340	81,239
Current assets					
Debtors		55,463	(6,511)	-	48,952
Income tax asset		-	3,683	-	3,683
Cash at bank and in hand		48	-	-	48
		55,511	(2,828)	-	52,683
Creditors: Amounts falling due within one year		(117,377)	-	-	(117,377)
Net current assets/(liabilities)		(61,866)	(2,828)	-	(64,694)
Total assets less current liabilities		(13,795)	-	30,340	16,545
Creditors: Amounts falling due after more than one year		(4,577)	-	-	(4,577)
Pension liability		-	-	(142,564)	(142,564)
Net assets/(liabilities)		(18,372)	-	(112,224)	(130,596)
Capital and reserves					
Share capital		12,358	-	-	12,358
Capital contribution reserve		280,315	-	-	280,315
Share based payment reserve		24,410	-	-	24,410
Retained earnings		(335,455)	-	(112,224)	(447,679)
Shareholders' funds/(deficit)		(18,372)	-	(112,224)	(130,596)

23 Transition to FRS 101 (continued)

Balance sheet at 26 December 2015

	Note	As originally reported £ 000	Reclassification £ 000	Remeasurement £ 000	As restated £ 000
Fixed assets					
Intangible assets		-	2,822	-	2,822
Tangible fixed assets		8,420	(2,821)	-	5,599
Investments		39,045	-	-	39,045
Deferred tax asset		-	2,349	10,790	13,139
		47,465	2,350	10,790	60,605
Current assets					
Income tax asset		-	1,744	-	1,744
Debtors		69,091	(4,096)	-	64,995
Cash at bank and in hand		305	-	-	305
		69,396	(2,352)	-	67,044
Creditors: Amounts falling due within one year		(115,694)	-	(22,971)	(138,665)
Net current assets/(liabilities)		(46,298)	(2,352)	(22,971)	(71,621)
Total assets less current liabilities		1,167	(2)	(12,181)	(11,016)
Creditors: Amounts falling due after more than one year		(4,148)	-	-	(4,148)
Pension liability		-	-	(49,153)	(49,153)
Net assets/(liabilities)		(2,981)	(2)	(61,334)	(64,317)
Capital and reserves					
Share capital		12,358	-	-	12,358
Capital contribution reserve		280,315	-	-	280,315
Share based payment reserve		27,479	-	-	27,479
Retained earnings		(323,133)	-	(61,336)	(384,469)
Shareholders' funds/(deficit)		(2,981)	-	(61,336)	(64,317)

23 Transition to FRS 101 (continued)

Profit and loss account for the year ended 26 December 2015

	Note	As originally reported £ 000	Remeasurement £ 000	As restated £ 000
Turnover		57,201	10,201	67,402
Administrative expenses		(44,616)	5,976	(38,640)
Operating profit/(loss)		12,585	16,177	28,762
Interest payable and similar charges		(1,734)	(4,100)	(5,834)
Profit/(loss) before tax		10,851	12,077	22,928
Tax on profit on ordinary activities		1,471	(8,849)	(7,378)
Profit/(loss) for the financial year		12,322	3,228	15,550